

FORM TP 2012026TEST CODE **01239032**

JANUARY 2012

CARIBBEAN EXAMINATIONS COUNCIL**SECONDARY EDUCATION CERTIFICATE
EXAMINATION****PRINCIPLES OF ACCOUNTS****Paper 032 – General Proficiency***1 hour 30 minutes***06 JANUARY 2012 (p.m.)****READ THE FOLLOWING INSTRUCTIONS CAREFULLY.**

1. Answer ALL questions.
2. Write your answers in the Answer Booklet provided and return it.
3. You may use a silent, non-programmable calculator to answer questions.

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INSTRUCTION: This paper consists of a case study and eleven questions. The case study is divided into three parts. Study the case and answer the questions that follow.

PART A

Peppy is the sole proprietor of Cuisine Karaibe, a restaurant which specializes in Caribbean dishes. At 1 October 2011, Peppy presents the following information:

Assets and Liabilities	\$
Cash	3 500
Premises	50 000
Supplies	1 200
Furniture & fixtures	9 600
Receivables	2 250
Motor vehicle	6 700
Mortgage	36 000
Inventory	2 400
Bank	28 000
Payables	7 800

1. List the assets, in the table above, in order of permanence, starting with the MOST permanent.
(2 marks)
2. From the list above, identify ONE item that is a long-term liability.
(1 mark)
3. Calculate the amount of Peppy's capital.
(3 marks)
4. Prepare a classified Balance Sheet in vertical style for Cuisine Karaibe as at 1 October 2011.
(7 marks)
5. Name ONE asset item, other than those listed in the table above, which Peppy can use in his business.
(1 mark)

PART B

Peppy is a new student in Accounting. Below is part of his homework.

		Source Document	Journal for Recording Entry	Name of Account	
				Debited	Credited
(a)	A customer paid Peppy for her order by cheque.				
(b)	Peppy paid the kitchen helper in cash.				
(c)	Peppy received some fresh produce from a local farmer. The farmer will be paid next week.				
(d)	Peppy sent back some canned fruit to supplier as it was an incorrect order.				
(e)	Peppy took some money from the bank for his private use.				

6. Help Peppy by completing correctly the form **provided as an insert**.

(8 marks)

PART C

After one month of accounting classes, Peppy was able to prepare the following list on balances at the end of three months' trading on 31 December 2011:

	\$	\$
Sales		38 190
Purchases	7 200	
Returns out		450
Wages & salaries	5 545	
Telephone	450	
Cleaning	1 850	
Electricity	3 780	
Water	360	
Closing inventory	505	

7. Prepare the Income Statement for Cuisine Karaibe for the three months ended 31 December 2011. (6 marks)

Peppy has now learnt about adjusting accounts in the Income Statement. He realizes that the following accounts have to be adjusted to increase (+) expenses or reduce (–) expenses.

Adjustments:

- (i) A telephone bill for \$425 which arrived at the end of the month was not paid.
- (ii) Water is rated at \$60 per month, and 3 months water rate was paid in advance.
- (iii) The mortgage of \$36 000 carries interest at the rate of 9% per year. The interest has not been paid.
- (iv) The value of furniture and fixtures is \$9 600. This is depreciated at the rate of 20% per year on cost.

8. Copy and complete the table below to show how the adjustments above are to be made.

(7 marks)

No.	Name of Account to be Adjusted or Created	Amount and type of Adjustment (+\$ OR –\$)
(i)		
(ii)		
(iii)		
(iv)		

9. The industry's average profit is \$5 000 per month for a similar sized business. How does Peppy's business compare with other similar businesses? **(1 mark)**

10. Calculate Peppy's three-month return on investment. **(Show your working.) (2 marks)**

11. Identify ONE current asset and ONE current liability which Peppy will carry over into the new period, after the preparation of the Income Statement. **(2 marks)**

Total 40 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.